

DSCR rent-coverage worksheet

A DSCR loan looks at one main question: does the rent cover the payment?

Fill this in for any property you're looking at and you'll know before you call me.

THE FORMULA

$$\text{DSCR} = \text{monthly rent} \div \text{monthly payment (PITIA)}$$

PITIA = principal, interest, taxes, insurance and association dues.

Your property

Address: _____

Line	Item	Monthly amount
A	Rent (lease, or market rent estimate)	\$ _____
B	Principal and interest	\$ _____
C	Property tax (yearly $\div$ 12)	\$ _____
D	Homeowners insurance (yearly $\div$ 12)	\$ _____
E	HOA dues	\$ _____
F	Flood or other required insurance	\$ _____
G	Total payment (B + C + D + E + F)	\$ _____
H	DSCR (A $\div$ G)	_____

Example

Made-up numbers to show the math. If rent is \$4,000 and the total payment is \$3,600, the DSCR is $4,000 \div 3,600 = 1.11$. The rent covers the payment with some room to spare.

How to read your number

- **Above 1.00:** rent covers the full payment.
- **Exactly 1.00:** rent and payment break even.
- **Below 1.00:** rent doesn't cover the payment. Some programs still allow this, usually with tradeoffs.
- Each lender sets its own minimum. I'll tell you where your number lands across the lenders I work with.

What rent the lender may use

- Many lenders use the lower of your current lease and the appraiser's market rent estimate.
- If the unit is vacant, the appraiser's estimate is usually what counts.
- For short-term rentals, some lenders accept booking history or third-party rental data. Guidelines vary a lot.

If the number is tight

- A larger down payment lowers line B.
- Shopping insurance can lower line D. In LA this line moves more than people expect.
- A bank statement or conventional loan may work better if your income is strong.

Is this you? Book a call.

Send me your filled-in worksheet and I'll run it against real programs. jaysoncain.com/schedule